

AhamX Bodhi

Where I Becomes Infinite

Byte Pair Encoding (BPE)

Module 3.3: Tokenization

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Session Overview

What You Will Learn

- The original data compression origin of BPE
- The BPE training algorithm step by step
- How the BPE merge table encodes vocabulary
- BPE encoding at inference time
- BPE in GPT-2, GPT-4, and Llama models

Concept at a Glance

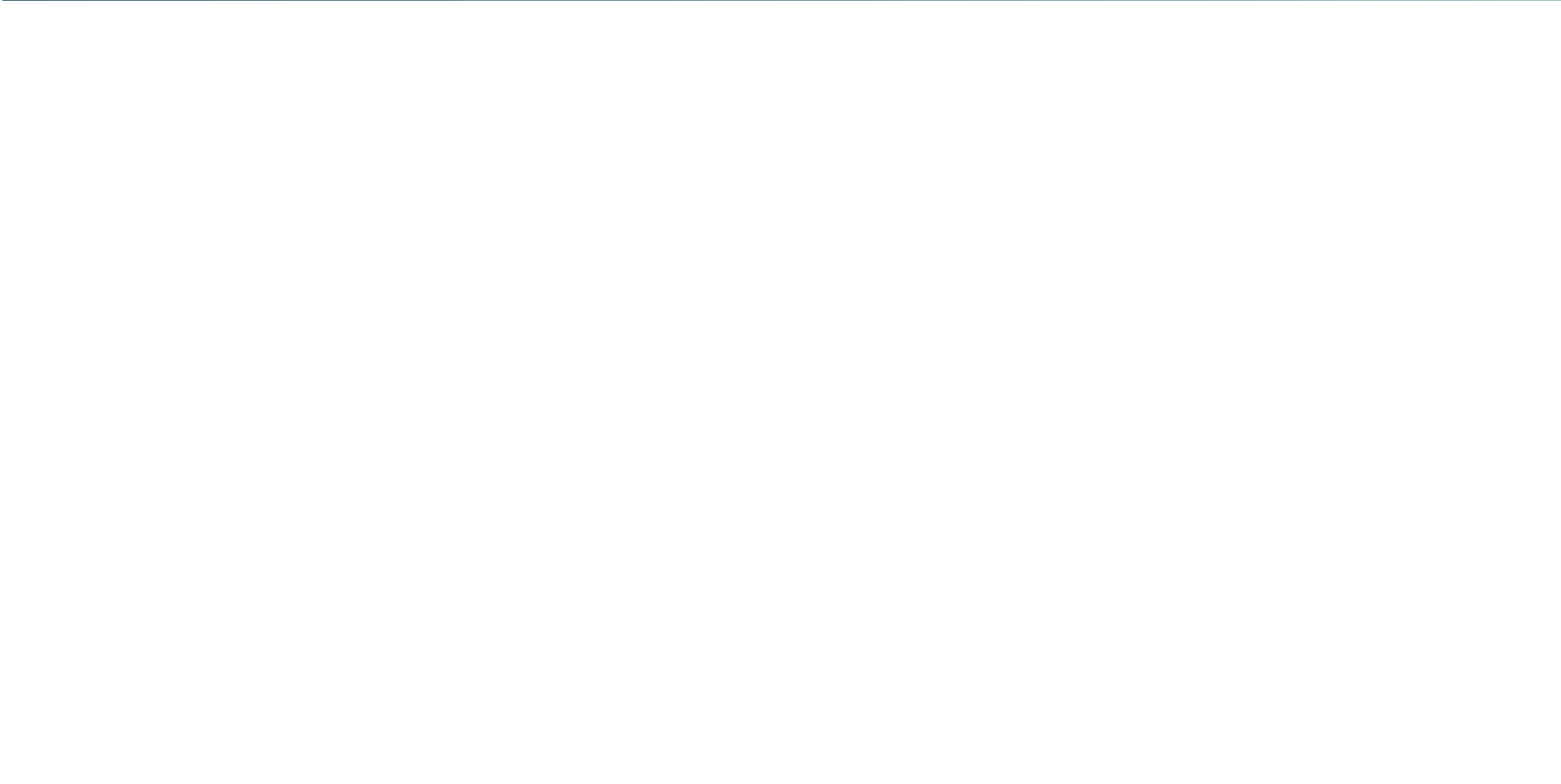
- **Duration:** 9 minutes
- **Bloom's Level:** B3 (Apply)
- **Difficulty:** L2 (Intermediate)
- **Algorithm:** Iterative frequency merging
- **Used By:** GPT-2, GPT-4, Llama, Falcon



Learning Objectives

By the End of This Concept You Will Be Able To

- **Explain** the origin of BPE as a data compression algorithm
- **Trace** the BPE training process: initialization, frequency counting, merging
- **Apply** BPE encoding to tokenize a short string using a given merge table
- **Distinguish** BPE from WordPiece and SentencePiece in vocabulary construction
- **Identify** which production LLMs use BPE and how byte-level BPE extends the algorithm





Historical Origin of BPE

From Compression to Tokenization

- BPE was invented in 1994 by Philip Gage as a **lossless data compression** technique
- Original idea: replace the most frequently occurring pair of bytes with an unused byte
- Applied iteratively until no further compression is possible
- Sennrich et al. (2016) adapted BPE for neural machine translation tokenization

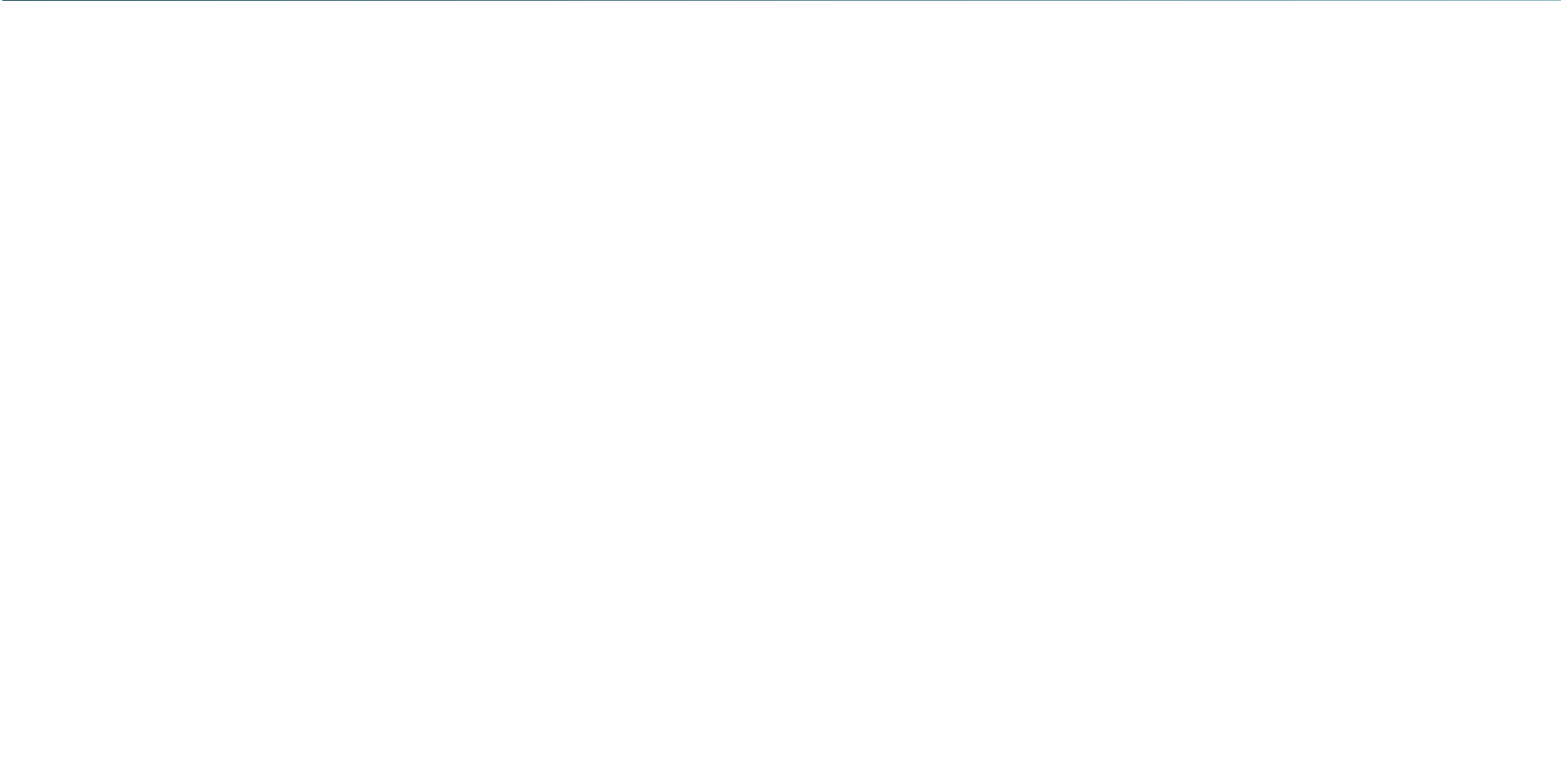
The key insight from Sennrich et al.: BPE's merging logic naturally creates a vocabulary of frequent character sequences, which correspond exactly to the morphological units (roots, suffixes, prefixes) that are linguistically meaningful.



The Core Intuition

Why BPE Works for Language

- In any language, some character combinations appear far more often than others
- ``th'', ``ing'', ``tion'' appear millions of times in English text
- If we assign a single token to each frequent combination, sequences become shorter
- Shorter sequences $\Rightarrow$ less computation, faster training, more context per window
- Rare combinations remain as character sequences — no OOV problem





BPE Training: Step 1 -- Initialize

Starting Point

- Begin with a training corpus (all text you want to tokenize)
- Split every word into its individual characters, separated by spaces
- Add an end-of-word marker `</w>` to each word for word boundary awareness
- Example: `low` → `l o w </w>`
- `lower` → `l o w e r </w>`

The initial vocabulary is simply the set of all unique characters in the corpus plus the `</w>` marker. This initial vocabulary is tiny (~300 entries for English) and grows with each merge operation.

$|V| \approx 128k$

200 ~ char



BPE Training: Step 2 -- Count Pairs

Frequency Counting Example

- Suppose the corpus (with frequencies) is: low $\langle /w \rangle \times 5$, lower $\langle /w \rangle \times 2$, newest $\langle /w \rangle \times 6$, wider $\langle /w \rangle \times 3$
- After character splitting, count all adjacent symbol pairs
- Most frequent pair: (e, r) appears in lower and wider = $2 + 3 = 5$ times
- Wait — (e, s) in newest appears 6 times — that wins

At each step, exactly **one** merge rule is added: the merge that reduces the total number of symbols in the corpus the most. The process is greedy — always take the single best merge available.



BPE Training: Step 3 -- Merge and Repeat

The Merge Loop

- Take the most frequent pair (A, B) and create a new symbol AB
- Replace every occurrence of $A B$ with AB in the corpus
- Record the merge rule: $A + B \rightarrow AB$
- Re-count all adjacent pairs in the updated corpus
- Repeat until the desired vocabulary size V is reached (e.g., 50,000 merges)
- The final vocabulary = initial characters $\cup$ all merged symbols



BPE Training: Worked Example (5 Merges)

Trace on a Tiny Corpus

- **Initial:** l o w </w>(5), l o w e r </w>(2), n e w e s t </w>(6), w i d e r </w>(3)
- **Merge 1:** e + s (freq 6) → es. Update: n e w e s t </w>
- **Merge 2:** es + t (freq 6) → est. Update: n e w e s t </w>
- **Merge 3:** l + o (freq 7) → lo. Update: l o w </w>(5), l o w e r </w>(2)
- **Merge 4:** lo + w (freq 7) → low. Update: low </w>(5), low e r </w>(2)
- **Result:** Vocabulary now includes es, est, lo, low, plus all characters

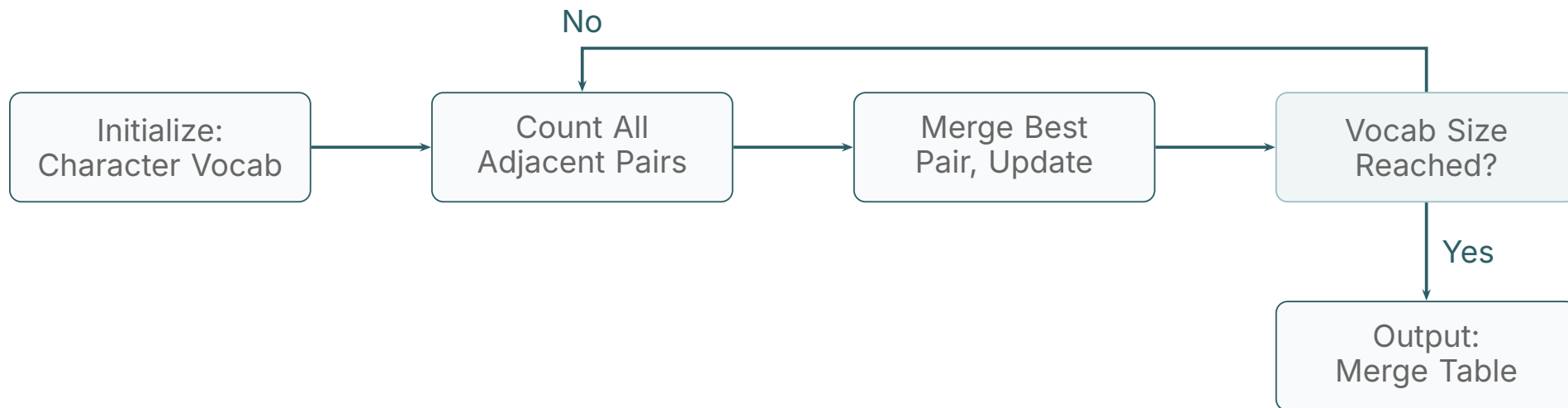


BPE Encoding at Inference Time

How New Text is Tokenized

- The merge table from training is fixed and applied in the **same order** it was learned
- Start with the character sequence of the word
- Apply merge rules from highest to lowest frequency until no more rules apply
- Example with learned merges $l+o \rightarrow lo$, $lo+w \rightarrow low$: ``lowest'' $\rightarrow [low, est, </w>]$
- Unknown characters are handled via byte-level fallback (in byte-BPE variants)

BPE Training Flow



The training loop runs until the target vocabulary size is reached. For GPT-2 this meant 50,000 merge operations; for GPT-4 (cl100k), approximately 100,000 merges.



Byte-Level BPE: The GPT-2 Extension

Eliminating the OOV Problem Entirely

- Standard BPE starts from characters; byte-BPE starts from raw **bytes** (256 possible values)
- Any Unicode character encodes as 1–4 bytes in UTF-8
- Therefore any string, in any language, in any encoding, can be tokenized without failure
- GPT-2 introduced byte-level BPE; GPT-4 (cl100k) and Llama continue this approach

Byte-level BPE means the tokenizer has **zero** out-of-vocabulary failures. Emoji, mathematical symbols, code in any programming language, and text in any script are all handled gracefully through byte sequence decomposition.



BPE Properties and Trade-offs

Strengths

- Simple, deterministic algorithm
- Vocabulary size is fully controllable
- No OOV (with byte-level variant)
- Works across all languages
- Fast encoding at inference time

Limitations

- Greedy merging is not globally optimal
- Tokenization is context-independent (same word always splits the same way)
- Sensitive to whitespace pre-tokenization rules
- Different corpora produce different vocabularies





GenAI Application: BPE in GPT Models

OpenAI's Tokenizer Evolution

- **GPT-2:** Introduced byte-level BPE with 50,257 tokens. Whitespace rules: spaces attach to the *following* word
- **GPT-3:** Same tokenizer as GPT-2 for compatibility
- **GPT-3.5 / GPT-4 (cl100k_base):** 100,256 tokens, improved multilingual and code coverage
- **GPT-4o (o200k_base):** 200,019 tokens, further expanded for multimodal contexts

OpenAI's `tiktoken` library implements their BPE tokenizers in Rust with Python bindings, providing tokenization at ~ 10 million tokens per second on modern hardware.



GenAI Application: BPE in Open-Source LLMs

Meta Llama Tokenizer Series

- **Llama 1 and Llama 2:** Used SentencePiece with BPE algorithm, 32,000 tokens. Limited multilingual performance
- **Llama 3 (2024):** Switched to tiktoken-style byte-level BPE, 128,256 vocabulary. Dramatically improved multilingual token efficiency
- **Falcon:** Custom BPE tokenizer, 65,024 tokens with multilingual focus
- **Mistral:** Llama 2 SentencePiece BPE, 32,000 tokens; compatibility with Llama ecosystem

The jump from 32K to 128K vocabulary in Llama 3 reduced Hindi and Arabic token fertility by approximately 3x, directly improving model performance on non-English benchmarks.



GenAI Application: BPE Tokenizer Libraries

Production Tools for BPE

- **tiktoken (OpenAI):** Rust-core BPE library, used for all GPT models. Importable as a Python package
- **HuggingFace Tokenizers:** Rust-core library supporting BPE, WordPiece, Unigram. Powers all HuggingFace model cards
- **SentencePiece (Google):** C++ library supporting BPE and Unigram algorithms, language-agnostic
- **tokenizers.BpeTrainer:** Train custom BPE vocabularies from any text corpus in under a minute



BPE vs WordPiece: Key Differences

Property	BPE	WordPiece
Merge Criterion	Highest raw frequency	Highest likelihood gain
Training Objective	Data compression	Language model probability
Result Bias	Favours very common bi-grams	Favours linguistically meaningful units
OOV Handling	Byte-level fallback	[UNK] or byte fallback
Key Users	GPT-2/4, Llama 3, Falcon	BERT, DistilBERT, Electra



Common Misconceptions About BPE

Myths and Corrections

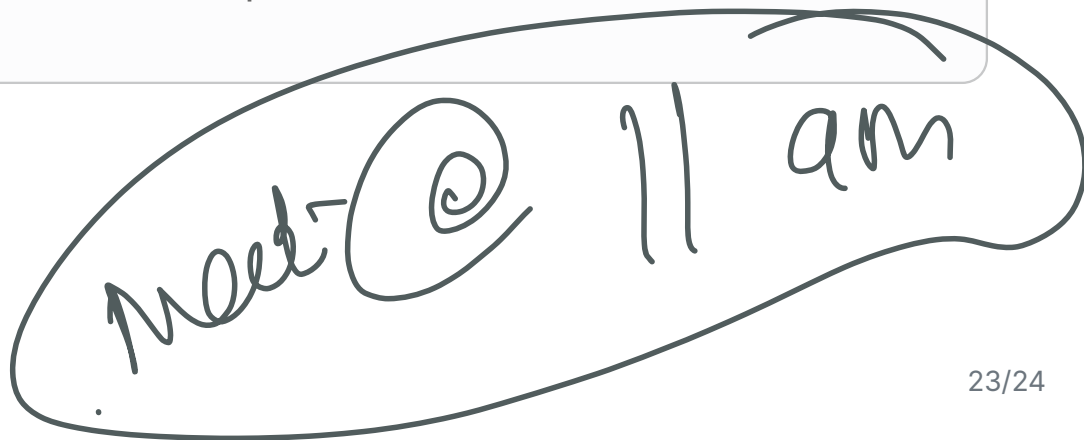
- **Myth:** "BPE merges the most frequent words." BPE merges the most frequent *adjacent pairs*, which can be any sub-string fragment
- **Myth:** "BPE is the same as WordPiece." They use different scoring criteria and produce different vocabularies
- **Myth:** "A larger vocabulary is always better." Larger vocabularies require larger embedding matrices and more data to learn each token well
- **Myth:** "BPE produces consistent tokenizations across models." Different merge tables produce completely different tokenizations of the same input

Key Takeaways



What You Have Learned

- BPE is a greedy iterative algorithm that merges the most frequent adjacent symbol pairs
- Training produces a fixed **merge table** that encodes the entire vocabulary construction history
- Encoding at inference applies merge rules in training order to any input string
- Byte-level BPE (GPT-2+, Llama 3) eliminates OOV by operating on raw UTF-8 bytes
- BPE powers the most widely deployed LLMs today: GPT-4, Llama 3, Falcon, Mistral
- The algorithm is simple, deterministic, and fast — qualities that make it production-ready



Thank You

Byte Pair Encoding (BPE) — Module 3.3